

**SRI LANKA FORESTRY SECTOR
MASTER PLAN**

**NATIONAL FORESTRY POLICY
AND
EXECUTIVE SUMMARY**

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Introduction

It is widely accepted in Sri Lanka that deforestation is one of the main environmental and social problems in this country. Forests yield various products and also have a vital role in the protection of soil and water resources, and of biodiversity. Unless planned action is taken to halt deforestation and forest degradation, there will be adverse impacts on the ability of the nation's forests to provide much-needed products and ecological security for the people. The forestry sector also has very close links with other sectors of the economy, including agriculture, energy, industry, and tourism, which are being affected by the negative forestry development trends. The need for an integrated national forest development plan was recognized in the early 1980s, and this led to the preparation of the first Forestry Master Plan in 1986. The plan that was produced drew criticism, on the one hand for not being based on adequate consultation, and on the other hand for being too much concerned with production forestry, while not adequately addressing ecological and biodiversity conservation issues.

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The Forestry Sector Master Plan (FSMP) project was started in July 1993, to enquire afresh into the major issues, and to develop a new plan that would adequately address the complex issues facing the forestry sector at present. The present plan has taken into account the lessons learned since the last plan, and has also brought the forestry database up to date. The FSMP is a comprehensive bio-physical, environmental, socio-political, and economic projection of the forestry sector's optimal development, intended to guide decision making at national, regional and local levels. It provides a comprehensive long-term development framework for the forestry sector, which when implemented, will ensure that the valuable natural forests and the related wildlife and other biodiversity resources will be conserved, and that the forests and agroforestry systems will provide environmental services and forest products to meet the needs of the people sustainably. Its development objectives are the same as those of the *National Forestry Policy* of 1995. The FSMP covers the period 1995-2020.

The plan that has been produced is the result of a national exercise, carried out jointly by senior staff of the Forestry Planning Unit (FPU), the Forest Department (FD), and representatives from other government departments, universities, NGOs, and other experts. It is not only this end result, the

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FSMP, that is important, but also the national forestry planning process, which is thought to have benefited permanently from the exercise. It is hoped that because of the broad-based, participatory and transparent planning process that was adopted, the FSMP truly reflects the interests of all the major groups concerned. The adoption of a participatory planning approach is expected to help in securing equally broad support when the plan is being implemented.

The FSMP is being presented as:

- *Sri Lanka Forestry Sector Master Plan* (main report)
- *An Overview of the Sri Lanka Forestry Sector Master Plan*
- *National Forestry Policy and Executive Summary* (this document)
- Unpublished FSMP working reports.

The FSMP puts particular emphasis on:

- Conserving the remaining natural forests to maintain wildlife (animals and plants) as reservoirs of biodiversity.
- Empowering people and rural communities to manage and protect

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- multiple-use forests, mainly for their own benefit.
- Building partnerships in forestry development activities.
- Developing home garden and other agroforestry systems as well as forest plantations to meet people's basic needs and to supply industrial wood.
- Policy and legal reforms.
- Developing and strengthening forestry institutions, both state and NGOs.

The FSMP needs to be reviewed and updated from time to time. Master planning, or any sectoral planning, should be regarded as a dynamic, rolling, and long-term process, reacting to both actual and expected changes, whether socio-economic, environmental, or political. In an ideal situation the process is institutionalized, and there will be no need for separate forestry master plan projects. There should be a planning cycle in which implementation of the plan will be monitored and evaluated so as to provide information for correcting the direction taken.

It must be remembered that to achieve the goals set, the plan must be properly implemented. Bringing together all the people and institutions

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concerned, to prepare a plan for the forestry sector that reflects a national vision, will ensure that the plan is implementable. The next step is to implement it. Various stakeholders must be allowed to participate in forest management, utilization and conservation, in partnership with the state. These efforts need to be supported by political will and commitment. The emphasis must be on creating the right environment, in terms of forestry policy and legislation, training, education, research and infrastructure, to optimize the contribution from the forestry sector to sustainable development.

The contributions of the staff of the Ministry responsible for forestry, the FD, other government agencies, university representatives, and other national experts have been essential in making this project a success. The inputs provided by a large number of NGOs, university staff, and the general public have been indispensable to the preparation of this plan. The FSMP has been prepared with the financial support of the Finnish International Development Agency (FINNIDA). The British Overseas Development Administration (ODA) and the World Bank have also provided assistance in completing the project successfully.

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National Forestry Policy

Preamble

A *National Forestry Policy* has been drawn up to provide clear directions for development. It reflects consultations lasting for almost a year, involving the Ministry in charge of forestry, the FD, other key Government agencies, universities, research institutes, NGO representatives, and the general public. It was approved by the government in March 1995.

The policy acknowledges that the natural forests are heavily depleted, and expresses concern for safeguarding the remaining natural forests for posterity in order to conserve biodiversity, soil and water resources. It emphasizes the importance of retaining the present natural forest cover, and increasing the overall tree cover. A large part of the forests should be completely protected for the conservation of biodiversity, soil and water. Multiple-use forestry is to be promoted, and the natural forests outside the protected area system

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should be used sustainably to provide for the growing demand for bio-energy, wood and non-wood forest products, and various services, especially for the benefit of the rural people, while ensuring that the environmental objectives are also met.

The Sri Lankan people have co-existed with the forests for centuries, and have close cultural and sometimes even spiritual ties with them. These values must be recognized and respected.

The policy recognizes that home gardens and other agroforestry systems, and trees on other non-forest land, have a crucial role in supplying timber, bio-energy and non-wood forest products.

The policy recognizes that the state agencies alone cannot protect and manage the forests effectively. People's participation in forestry development and conservation is to be promoted. The policy emphasizes the need to develop partnerships with local people, communities, NGOs, and other local groups outside the state sector. The policy aims at broadening the institutional framework for forest management, with clearly defined roles and responsibilities for the various partners. Farmers, community organizations, NGOs, and small and medium-scale commercial enterprises should all have a role in activities such as protecting

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the forests, growing trees to meet household needs, supplying raw material for wood-based industries, harvesting, transporting, processing and distribution of various forest products.

Definition of key concepts

The overall *objectives* of the national forestry policy are intended to give a clear indication of what the forestry sector should look like in the 21st century. The various *policy statements* then describe the lower-level policy objectives, for attaining the overall objectives. The policy statements facilitate setting priorities among the conflicting demands, and assist in the selection of development strategies. They have to be translated into legislation, which will provide the necessary guidance for the implementing agencies and which will also make the agencies accountable for their actions. The *strategies* should lay down how the political will expressed in the policy statements is to be implemented by administrative and management action. Legislative reform is itself one of the most important strategies in translating policy statements into action, as it provides the necessary framework for implementing the other strategies. The strategies are again to be translated into *development programmes* which will describe the necessary action and the implementation

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mechanisms, and identify implementers and their respective roles. *The Sri Lanka Forestry Sector Master Plan is all about drawing up strategies and programmes in the form of an action plan to implement the National Forestry Policy.*

Forestry covers *bio-physical and environmental* components such as land and biological resources (fauna and flora) found in natural forests, forest plantations, areas covered by tree crops and home gardens outside the forest, soil and water supplies, and the mitigation of atmospheric pollution and global warming; *socio-political components* such as those concerned with policy making, legislation, administration, management, utilization, and other operations concerning the bio-physical resources; and *economic components* such as those concerned with the production, processing, marketing, and utilization of forest products.

The private sector refers to all *national* private bodies such as farmers, communities, user groups, local private industries, and NGOs.

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National Forestry Policy of 1995

1 National Forestry Policy objectives

- 1.1 To conserve forests for posterity, with particular regard to biodiversity, soils, water, and historical, cultural, religious and aesthetic values.
- 1.2 To increase the tree cover and productivity of the forests to meet the needs of present and future generations for forest products and services.
- 1.3 To enhance the contribution of forestry to the welfare of the rural population, and strengthen the national economy, with special attention paid to equity in economic development.

2 Policy on management of state forest resources

- 2.1 All state forest resources will be brought under sustainable management both in terms of the continued existence of important ecosystems and the flow of forest products and services.
- 2.2 The traditional rights, cultural values, and religious beliefs of people living within or adjacent to forest areas will be recognized and respected.

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- 2.3 The natural forests will be allocated firstly for conservation, and secondly for regulated multiple-use production forestry.
- 2.4 For the management and protection of the natural forests and forest plantations, the state will, where appropriate, form partnerships with local people, rural communities and other stakeholders, and introduce appropriate tenurial arrangements.
- 2.5 The establishment and management of industrial forest plantations on the state lands will be entrusted progressively to local people, rural communities, industries and other private bodies, in pace with institutionalizing effective environmental safeguards.
- 2.6 Degraded forest land will be rehabilitated as forest for conservation and multiple-use production, where it is economically and technically feasible, mainly for the benefit of local people.
- 2.7 Planned conversion of forests into other land uses can take place only in accordance with procedures defined in legislation and with accepted conservation and scientific norms.

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- 3 **Policy on management of private forest and tree resources**
 - 3.1 Tree growing on homesteads, and other agroforestry, will be promoted as a main strategy to supply wood and other forest products for meeting household and market needs.
 - 3.2 The establishment, management, and harvesting of industrial forest plantations by local people, communities, industries, and others in the private sector will be promoted.
 - 3.3 The state will promote tree growing by local people, rural communities, NGOs and other non-state sector bodies for the protection of environmentally sensitive areas.
- 4 **Policy on wood and non-wood forest products, industries and marketing**
 - 4.1 Greater responsibility will be given to local people, organized groups, cooperatives, industries, and other private bodies in commercial forest production, industrial manufacturing, and marketing.
 - 4.2 Efficient forest products utilization, development of competitive forest industries based on sustainable wood sources, and

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manufacture of value-added forest products will be promoted.

4.3 The state will facilitate the harvesting and transport of forest products grown on private lands.

4.4 Effective measures to protect the forests and prevent illegal trade in wood, non-wood forest products and in endangered species of flora and fauna will be instituted.

5 Policy on institutional support for forestry development

5.1 The National Forestry Policy will be kept up to date and implemented in a participatory and transparent manner.

5.2 Legislation will be amended or revised, as necessary, to support the implementation of the policy.

5.3 The state will provide full support to the various resource managers for sustainable forestry development, and its institutions will be reoriented and strengthened to enable them to accomplish their role.

5.4 The state will coordinate, carry out and promote research that pays attention to the requirements of beneficiaries and supports the implementation of the sectoral policy.

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5.5 NGOs and community-based organizations will be supported in their forest-based rural development activities.

6 Policy on intersectoral linkages

6.1 The National Forestry Policy and other sectoral policies will be kept consistent with each other.

6.2 Efficient use of scarce forest products and their substitution by other materials will be promoted.

6.3 Nature-based tourism will be promoted to the extent that it does not damage the ecosystems and insofar as it provides benefits to the local population.

6.4 Urban forests and greenery will be developed and maintained.

6.5 The general public and industries will be educated about the importance of forestry, and of conserving biodiversity and protecting watersheds.

7 Policy on international forest-related conventions

7.1 The state will observe international forest-related conventions and principles that have been agreed to by Sri Lanka.

Strategies for National Forestry Policy implementation

1 Strategies to promote sustainable land use for forestry

Allocation and zoning of state forest land for conservation, agroforestry and forest plantation development, in order to establish a Permanent Forest Estate.

1.1 All forests will be brought under management by allowing for combinations of managers, including state agencies, and managers outside the state sector such as local people, user groups, rural communities, NGOs, the estate sector, and local industries. However, natural forests should be managed only by the state agencies together with the local people and communities, possibly assisted by NGOs. Various partnership approaches to forest management and conservation will be developed, including joint forest management and leasehold forestry. The new approaches have to be adopted first on a pilot basis before any comprehensive schemes are implemented.

1.2 State forest land will be allocated for management in the following categories:

(i)

Class I forests. These forests should be strictly conserved or preserved to protect biodiversity, soils, water, and historical, cultural, religious and aesthetic values. Research in these areas is allowed.

(ii)

Class II forests. Non-extractive uses such as scientific research, protection of watersheds and habitats of wildlife, and regulated nature-based tourism should be allowed as well as controlled collection of NWFPs, and possibly dead fuelwood by local people living adjacent to the forest. All the activities have to be according to the management plans that are to be developed jointly with rural communities. This category would include all other protected areas not in Class I. Zoning of such forests should be adopted, wherever feasible, to assign different parts of the forest for protection, collection of traditional forest products, conserving religious and cultural values, etc. The broad management objectives would be the same as in Class I.

(iii)

Class III forests - for multiple uses. These forests should be managed

- o primarily for sustainable production of wood for national interest, on the basis of management plans to be developed by the state, and
- o for sustainable production of wood and NWFPs for the benefit of adjacent communities.

Class III would also include buffer zones to protect Class I and II forests. The FSM sub-programme on multiple-use forests, which is presented later in this chapter, covers this category.

- (iv) *Class IV forests* consist of forest plantations and agroforestry systems. These lands would be managed for the production of wood and non-wood forest products by the state and non-state sector. Deforested and degraded lands suitable for plantation forestry and agroforestry development would also be included in this class.

- 1.3 Clear arrangements for land and tree tenure will be introduced in the above forest categories so that the resource managers will have an incentive for protecting the

- 1.4 resource and investing in the land to improve its productivity.

The ministry responsible for lands and forestry will form a multi-disciplinary committee, which will develop explicit macro-level criteria for allocating forest land into the above listed categories, following a participatory approach.

- 1.5 The identification and demarcation of the forest categories will be done by a multi-disciplinary zoning team according to the approved criteria, and involving the stakeholders in the process. A system will have to be adopted for settling disputes. On completion of the demarcation, the results will have to be submitted to the relevant authorities for approval.

- 1.6 Management plans for forests will be formulated in consultation with the agencies involved and other stakeholders in accordance with the principles of "bottom-up planning" and transparency.

- 1.7 The management plans will indicate management priorities and operational principles for managing forest resources, including protected areas. Each plan should state the management objectives, rights and responsibilities of the manager(s), management principles and prescriptions, and permitted activities. The specific

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contents of various types of management plans and the process for preparing and approving them will be specified in the laws and regulations.

- 1.8 A regulatory system will be established to ensure that actual land use in the various forest categories is in accordance with the approved zoning system and environmental guidelines.

- 1.9 Environmental guidelines for managing the resource base in the various forest categories will be developed jointly by the ministries responsible for forestry, wildlife and the environment.

State forest land for conservation

- 1.10 The existing Protected Area System (PAS) will be rationalized and consolidated into an integrated PAS (Class I and II forests), covering biodiversity related to both flora and fauna, critical watersheds, and forests with special cultural, religious, historic, and aesthetic values. The ministries responsible will take measures to ensure that the protected areas will be of a size necessary to conserve biodiversity.

- 1.11 The PAS will be demarcated on the basis of biodiversity surveys, other scientific studies and approved criteria.

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- Macro-level criteria will be developed for establishing a protected area system whose boundaries will be established on maps and in a Geographical Information System.

- At the operational level, the implementing agencies, with the participation of the local people and NGOs, will develop criteria and demarcate the areas to be managed as protected areas.

- 1.12 The PAS will be managed by the state, in co-operation with local people and NGOs.

- *Strict conservation areas* (Class I) will be zoned and managed by authorized officers only for conservation and research. *Other protected areas* will be zoned and managed jointly by the state and local people, with assistance from NGOs, as multiple-use conservation forests, where only those activities that are defined in the management plans are allowed.

State forests lands for multiple-use forestry and agroforestry

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- 1.13 State forest land that is not needed for conservation purposes, including degraded and deforested land, will be leased out, on request, to local people user groups, communities and national industries for growing trees, and managed in accordance with management plans or approved management principles. The remaining lands will be managed by the state, together with local people and NGOs wherever possible, under approved management plans.
- 1.14 To facilitate and implement the prescriptions of para.
- 1.13 Above, the state will identify suitable areas for long-term leasing and management, select the leaseholders according to explicit criteria, prepare management plans in cooperation with the leaseholders, draw up lease agreements, and monitor the implementation of the agreements and management plans.
- 1.15 The lease period should be longer than one rotation of the main tree crop, and the lease should be renewable as long as the terms and conditions have been fulfilled.
- 1.16 The leaseholder shall be free to harvest and sell trees grown on leased plantations in the market, as long as the principles set by the management plan are followed.

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- 1.17 Leases and other tenurial arrangements will be transferable, inheritable and bankable, but disincentives such as taxation, fees, and fines will be used to discourage speculation and the adoption of inappropriate land-use practices.
- 1.18 Incentive schemes will be developed for leasing and developing degraded land, such as reductions in leasing fees, free management and working plans, and high quality seeds.
- 1.19 The state will assist people to organize themselves into cooperatives, user groups and other structured bodies, and will train them and provide other necessary support services to turn them into capable forest managers.

State forest lands for plantation forestry

- 1.20 The management of the state-owned industrial plantations, where appropriate, will be leased to organized local people such as users' groups, communities, cooperatives, estates, and rural industries, which are capable of sustainable forest management. Leasehold plantation forestry needs to be carried out on a pilot scale before comprehensive schemes are implemented.

1.21

As an interim step, the existing industrial plantations will be turned into a "profit centre" either within or outside the state administration, with the aim of making their management profit-oriented and financially self-sustaining. The areas that cannot be leased out immediately will be managed by this centre until suitable leaseholders can be found.

1.22

Transferring the management of the *selected* industrial forest plantations to the non-state sector will take place according to the following main steps, the details of which will have to be specified in legislation:

- inventory of the plantation resource base, and selection of blocks suitable for lease;
 - financial and other analyses for long-term leasing of a block or blocks;
 - offering blocks for competitive, transparent bidding to all eligible national parties;
 - preparation of detailed management plans for the leased blocks.
- The experiences gained in the pilot phase will need to be used in expanding the scheme if expansion is found to be consistent with the government's economic policy.

1.23

The forestry and wildlife agencies responsible will monitor the implementation of the management plans, together with NGOs.

2

Strategies to promote development of private forest and tree resources

2.1

Home gardens, other agroforestry systems and plantation forestry will be promoted on homesteads and other land as the main source of the national timber and fuelwood supply, as well as to conserve biodiversity, soil and water resources.

2.2

The forests and trees on homesteads and other private land will be managed and utilized according to the priorities set by the owners, subject to environmental safeguards.

2.3

Farmers, industries, schools and other non-state sector groups will be motivated to grow trees by improvements in the security of land and tree tenure, relaxation of restrictions on felling and transport, and the provision of technical assistance and other support services. Further encouragement will be provided by way of tax remissions, financial incentives such as soft loans or producer credits, and high quality seeds or plants at cost or at subsidized prices. The

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- incentive systems will be tailored to meet the needs of the target group.
- 2.4 Appropriate government agencies will help local people to organize themselves into tree growers' associations and cooperatives, and will provide the members with the necessary support services.
- 2.5 The FD will support the establishment of private nurseries by supplying them with high quality seeds, providing technical advice and making contracts to buy seedlings back from them.
- 2.6 Reforestation of private lands for the protection of soil and water resources will be supported by measures similar to those provided for in 2.3 above.
- 2.7 The state organizations will assist schools, temples, mass media, NGOs and other institutions in producing and disseminating information which promotes tree growing by the people.
- 3 **Strategies to support policy on forest products, industries and marketing**
- 3.1 The state will develop a national wood-supply strategy to meet the needs of the wood users.
- 3.2 Wood from state forest plantations, which are harvested according to management

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- plans, will be sold by transparent, competitive bidding. Harvesting operations will be monitored to ensure that environmentally acceptable methods are used.
- 3.3 The state will rationalize felling and transport regulations for trees on private lands, so as to facilitate trade, in line with the institution of measures to prevent illegal harvesting elsewhere.
- 3.4 The state will extend the policy of reduced import duties and taxes to cover all forest products in order to secure the availability of raw materials and finished forest products at fair prices, to increase competition and to improve efficiency in production.
- 3.5 The export of value-added forest products will be promoted in accordance with the government policy on export development.
- 3.6 The state will promote wood-saving production technology, and proper seasoning and preservation of timber, by the provision of technical assistance, and by tax and financial incentives to the local private forest industries concerned.
- 3.7 The state will establish a public market-information system for wood and non-wood forest products, covering the entire marketing chain from raw-material

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production to the markets for finished goods.

- 3.8 Tax and financial incentives, credit facilities and technical assistance will be made available for the establishment of wood and non-wood forest-based industries in rural areas, for the renovation of industries, for investments to increase productivity, raw-material recovery, and value-added production, and for the introduction of modern facilities to control pollution.
- 3.9 The state will strengthen technical and vocational training, in accordance with the needs of the industries.

4 Strategies to support institutional development

- 4.1 The *National Forestry Policy* will be reviewed systematically and in a transparent manner, by a participatory approach. An official mandate of the sectoral planning agency will be to keep it up to date.
- 4.2 Legislation will be modified or new laws will be enacted as soon as possible to make the legislation consistent with the National Forestry Policy.
- 4.3 Policy analysis and formulation, and sectoral planning and performance-monitoring capacity, will be strengthened in the ministry

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responsible for the forestry sector by instituting a sectoral planning division with an appropriate, clear mandate, adequate recruitment and both formal and on-the-job training in planning, and policy analysis and formulation. "Bottom-up" planning mechanisms will be developed with the collaboration of all the parties concerned.

- 4.4 The state forestry agencies will be developed according to their evolving mandate, and reoriented and strengthened to carry out their functions efficiently. The line agency(ies) in the sector will be responsible for:

- protecting and managing the Protected Area System according to the management plans;
- managing the natural forests and plantations remaining under state control, for multiple use purposes, jointly with the local people wherever possible, and in accordance with prepared management plans;
- developing the supporting framework for leasehold forestry and private tree growing, including secure tenure, leasehold legislation and rules, and adequate support services; allocating and leasing land for long-term forest management, and
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- monitoring leasehold forestry activities;
 - providing technical assistance such as the preparation of management and operational plans, and the provision of extension services (through agricultural channels) to those engaged in forest management;
 - carrying out research, with its own network of research stations linked to the extension unit;
 - provision of support services such as market development, financing arrangements, and accrediting of forest development agencies;
 - providing technical and vocational training and education;
 - systematically monitoring tree coverage and all forest resources, including their quantity, growth, and use;
 - law enforcement;
 - issuing of licenses and collection of revenue.
- 4.5 The mandates, relationships and accountabilities of the various forestry agencies will be clearly described in the legislation.
- 4.6 The staff of the various state forestry agencies will be given task-oriented job

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- descriptions and will be trained under a target-oriented training programme aimed at making them function more efficiently as conservation, extension, regulation, planning and monitoring agents.
- 4.7 The state will provide training and education to strengthen the capabilities of NGOs and other "grassroots" organizations that are active in forestry and environmental development. Formal cooperation mechanisms will be developed at field and central levels.
- 4.8 Forestry research will be coordinated by a multi-sectoral National Forestry Research Committee, by drawing up a research policy and a long-term research programme based on broad forestry policy priorities, and by a systematic multi-disciplinary assessment of these priorities.
- 4.9 The state, in collaboration with all relevant research organizations, will develop a strategy and suitable institutions for involving beneficiaries in the research process and for disseminating research results and information effectively to the end-users, and will establish a mechanism for linking research and extension services.
- 4.10 Funding for state forestry activities will be obtained partly by sharing some of the functions and costs with other forest

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managers, and partly by increasing revenue generation. Funding for conservation and other non-profit making activities can be generated from profit-making operations, lease fees, charges for services provided, and entrance charges to national parks and other protected areas.

5 Strategies to support policy on intersectoral linkages

5.1 Consistency between the *National Forestry Policy* and other policies will be ensured by establishing a multi-sectoral National Forestry Policy Committee, which will have representatives from all the relevant ministries, implementing agencies, national forest industries, NGOs, and other parties involved in forestry development.

5.2 The state will take measures to improve land and tree tenure, clearly define the property rights on all forest land, and enforce them efficiently and fairly, paying special attention to land-use arrangements in disputed areas.

5.3 The state agencies for forestry, agricultural, and other forestry-related agencies, as well as relevant local government agencies, will collaborate in planning and in providing assistance to intensify land management,

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5.4 and to integrate agriculture and forestry in buffer zones and other areas adjacent to forests.

5.5 The State will maintain continuing links with private forest industry to ensure that the concerns of both parties are appreciated, especially with respect to sustainability of wood supply and utilization.

5.6 The state will promote the substitution of other raw materials and forms of energy for wood both by carrying out research and by supporting other research and development. Research and development will be carried out to improve the efficiency of wood utilization in the construction, furniture and other industries, as well as in fuelwood consuming sectors.

5.7 Mass production, commercialization and distribution of energy-saving wood stoves will be promoted by organizing training programmes in stove manufacture, providing technical assistance to stove makers, carrying out research and demonstrations, and providing or facilitating loans to stove makers if necessary. The state will put emphasis on creating institutions and training people to sustain stove promotion efforts.

5.8 Financial facilities will be developed by collaboration between the financing

institutions and the ministries to promote private tree growing and the establishment and modernization of forest industries, including cottage industries and industries based on non-wood forest products.

Sri Lanka Forestry Sector Master Plan

Executive summary

Present and future challenges of the forestry sector

Sri Lanka was almost entirely covered by natural forest until the turn of the century. Since that time the closed-canopy natural forest cover has dwindled rapidly from about 80%, until in 1992 it was less than 24%. In the light of the increasing demands placed upon the forestry sector, its diminished capacity to meet the various needs of the people sustainably has become a major problem, which is being felt both at national and local level. The most serious consequences of deforestation and forest degradation are the reduction in biodiversity due to destruction of the habitats of wildlife and plants; irregular water supply; shortened lifespans of irrigation channels and reservoirs; soil erosion and associated loss of soil fertility; and increased scarcity of wood. The overall impact of forest degradation and deforestation can be summarized

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simply as the reduced well-being of the present and future generations.

The web of factors contributing to deforestation and forest degradation is extensive and complex. One of the main underlying causes of deforestation and forest degradation is the poverty that is often associated with landlessness and a poor land-tenure system. Other causes of deforestation are large agricultural and settlement projects, reservoir and hydropower projects, *chena* cultivation, excessive harvesting of forest products, and the conversion of natural forests to plantations and arable land. In a predominantly agricultural economy such as ours, there is a strong link between population growth and deforestation and forest degradation. More food is needed to support the increasing population. Agricultural production has been increased mainly by expanding the area under cultivation. Since most of the other cultivable land has already been used, natural forests have been cleared. Alongside these basic factors, one can find policy and institutional causes for deforestation. Inappropriate land-use trends are partly the result of insecure tenure, and the lack of explicit land-use and forest policies with clearly stated development objectives and associated legislation. As a whole, the policy and institutional environment, and the allocation of resources, have not supported sustainable forestry development.

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Deforestation and forest degradation, and associated environmental and socio-economic problems need to be resolved. The FSMP has analysed data and developed quantitative scenarios to describe forestry development on *current trends*, covering the period 1995-2020. In some sub-sectors it can be shown that a "no intervention" option will be disastrous. The FSMP scenarios, based on the best available information and sound planning, show that it is possible to reverse the negative environmental trends, and that forestry can contribute substantially to general socio-economic development. The environmental issues may be the most crucial; they need immediate attention before any more irreversible damage is caused.

The FSMP as a framework for forestry development

Forests are an important natural resource, whose wise management and development require national-level planning and coordination. Long-term planning is needed because the forestry sector is characterized by the long growing periods of trees and long gestation periods for investments.

The preparation of the FSMP and the formulation of the forestry policy have been closely inter-linked.

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The various FSMP studies have assisted in policy formulation, but at the same time, the policy developed has provided the foundation for the preparation of the various development programmes which together constitute the FSMP. The emphasis, at this stage of the planning cycle, was on analysing major sectoral issues, defining sectoral objectives and strategies, generating alternative scenarios, and defining the conditions and measures for the attainment of the desired scenario. In the future, mechanisms will have to be developed for introducing bottom-up planning at the implementation stage, and feedback from implementation at local levels will have to be integrated into national-level planning. These procedures will bring dynamism into the planning process, and will ensure that the FSMP is more effective and responsive to real needs

Partnership as a basic forestry development strategy

There are a number of development partners in the forestry sector, including the FD, DWLC, other government agencies, forest-dependent people, farmers, rural communities, local forest industries, NGOs and many others. It is increasingly being accepted that the state *alone* cannot manage and protect the forest resources. Many state functions

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can be shared or gradually handed over to other partners. The FSMP proposals seek to allocate appropriate tasks to each development partner. Successful management and protection of forest resources need the active participation of the non-state sector groups such as rural people, communities, NGOs, and rural industries. The importance of people's involvement and the resource they represent is demonstrated by the fact that already a substantial amount of the forest products needed by the country is produced by the rural people, mainly in home gardens and in plantations. While maintaining and strengthening the capacities of the main implementing agencies, the state should in the long run entrust its responsibility as forest manager to local people, rural communities and local industries, NGOs and other local non-state sector groups. In the future, NGOs and various community-based organizations will have an increasingly important role to play in organizing and mobilizing local people and communities to become more active in the forestry sector. There is a need to develop a partnership and dialogue with the national industrial sector, since industries can provide the engine for development. The form of partnership has to be carefully planned and developed to avoid adverse impacts such as have been experienced in the past.

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The state must continue to be the highest *authority* in the forestry sector, responsible for forest policy and legislation, policy coordination, law enforcement, the management of the system of protected areas, the issuing of licences and collection of revenue, and for supporting the other forestry partners and coordinating their development activities.

Adoption of the partnership concept cannot happen very rapidly, and it will require active promotion to succeed. To recognize and promote the forestry partnerships formally, action will have to be taken both in the state and non-state sectors. The local people, NGOs and other non-state sector groups must accept the challenge brought by their enhanced role in forestry development and the responsibility that goes with it. This means that they have to strengthen their capabilities as resource managers, with assistance from the state. At the same time, the state should give due recognition to the forestry partnerships and to the need to support them.

The FSMP includes measures for developing partnerships in the management of forest resources. These issues are addressed in the development programmes dealing with policy, legislation, institutions, and extension. Various types of partnership approaches are described in the

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development programmes that deal with the management of both natural forests and plantations.

The FSMP development programmes

The development programmes have been separated into two categories: *core programmes* which deal with the bio-physical, technical, social, economic, and environmental aspects of forest and land-resource management for the production of various outputs; and *institutional support programmes* (*Policy, legislation, and institutions; Human resources; Forestry research; Forestry extension and support services; and Planning, monitoring and evaluation*) which strengthen the sector's capacity to make the best use of available basic resources.

Conservation

The main problems are deforestation and forest degradation caused by encroachment, excisions and over-exploitation. As a result biodiversity is reduced, and soil and water resources are being destroyed. The conservation programme is the most important FSMP development programme. It comprises two sub-programmes. The creation of a Permanent Forest Estate is one of the key activities in both of the sub-programmes.

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Biodiversity conservation in forests

The programme components are improvement of the knowledge base, integration and rationalization of a comprehensive system of protected forests, effective management of protected forests, institutional strengthening, and protection against illegal activities. Resource/biodiversity surveys, protected-area-system planning, preparation and implementation of management plans, staff training, research, and strengthening of protection capacity are some of the proposed activities.

Soil and water conservation

The main components are intersectoral collaboration, and supporting forest land uses and measures which promote soil and water conservation. Integrated watershed management planning and implementation, watershed classification, establishment of coordination mechanisms at national and local level, and provision of support services and incentives for adoption of preferred land uses and conservation measures are the key activities.

Multiple-use natural forests

This programme is concerned with the management of multiple-use natural forests to provide a

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sustained flow of wood and non-wood forest products and services mainly for the benefit of rural people. The main activities are the creation of a Permanent Forest Estate, mapping of individual forests and prioritizing them for multiple-use management, community organizing, training, bottom-up planning, forest development and management operations, and provision of support services to target communities and organized forest users' groups.

Home gardens and other non-forest tree resources

Home gardens and other non-forest tree resources are an important source of wood in our country. This programme aims at strengthening the role of this sub-sector in meeting people's basic needs and market requirements. The long-term goals are to be attained by the following means: promoting various agroforestry systems on leased state land, mapping of land suitable for agroforestry system development, establishment and maintenance of home gardens and growing of trees in different agricultural land uses, and provision of support services such as credit, technical assistance, and research.

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Forest plantations

This programme aims at bringing forest plantations under efficient management and involving the non-state sector in plantation development through leasehold forestry on state land, and tree growing on private land. The programme has components for zoning and mapping forest plantation areas, leasing of forest plantations (at first on a pilot scale), preparation and implementation of management plans, forest protection, provision of institutional support services, and establishment of a forest plantation profit centre for the FD's industrial forest plantations.

Forest products utilization

Wood products

One of the biggest challenges faced by the wood-based industry is shortage of wood. Old machinery and poor technical skills result in low productivity and high wastage. The production of wood is covered by other development programmes. This programme aims at developing forest industries which are competitive and utilize the available forest resources sustainably, productively and with minimum waste, to meet most of the forest products requirements domestically. It has the following components: development of a secure,

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competitive and sustainable raw material base; wood industry modernization and development; improving the business environment; and market development.

Non-wood forest products

Non-wood forest products have an important role in the rural economy. This programme aims at sustainable utilization of non-wood forest products and development of non-wood forest resources outside the forests. The programme components are: conservation of the resource base, research and development, domestication and cultivation, marketing and processing, and extension and other support services.

Bio-energy sub-programme

Fuelwood and other biomass energy are the most important sources of energy in our country. The FSMP analysis indicates that there is no national fuelwood crisis. The main problems are increasing local imbalances between sustainable (bio-) energy supply, inefficient utilization of fuelwood and other biofuels, and an unsupportive institutional environment for responding to energy scarcity. This programme has the following components: conservation of fuelwood and other bio-energy, development of biomass resources, development

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and promotion of alternative energy sources, and strengthening of institutional capacity.

Policy, legislation, and institutions

The new *National Forestry Policy* has been approved. The major challenge ahead is to implement this policy. Reform of legislation is a key activity since the successful implementation of the FSMF requires a supporting legislative framework. Institutional reform is also needed if the policy and the FSMF are to be implemented efficiently.

Human resources

The programme components are strengthening the education and training institutions, identification of education and training needs, provision of education and training, and institution of a human resource development and management system.

Forestry research

This programme aims at strengthening the ability to carry out research to solve the problems faced by the various stakeholders in the sector. The components are the formulation of a national forestry research policy and plan, organization of the research effort, capability enhancement,

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management and coordination of research, and dissemination of results.

Forestry extension and support services

This programme is concerned with supporting various forestry partnerships, so that conservation and management are properly practised. The main activities are: re-allocating forestry functions in the field; developing the capability of extension agents; strengthening institutional collaboration; selecting core settings and target groups; developing extension programmes and packages; and provision of extension services.

Planning, monitoring, and evaluation

This programme is concerned with institutionalizing sectoral planning, monitoring and evaluation. The main activities are strengthening planning capability, updating the FSMF, developing a sectoral management information system, and monitoring and evaluation.

Agenda for action

Institutional deficiencies are a major impediment to forestry development in Sri Lanka. Institutions should serve the interests of the development

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partners and make them more effective in producing material outputs and conservation benefits. The strengthening of the institutions must be started before the *full* implementation of the development programmes is begun. Policy and legal reform are the key institutional developments which need to be carried out as soon as possible for the efficient implementation of forestry development. Policy and legislation must provide a framework for the development programmes.

Short, medium, and long-term implementation strategies

The FSMP programmes are the principal means for translating the *National Forestry Policy* and development strategies into action. There will be a phased implementation of the various programmes. Several preparatory measures need be taken.

Agenda for immediate action

Of the short-term actions, the following should be undertaken within the *immediate term* of one year:

- Approval of the FSMP by the government.
- *Drafting of legislation* giving effect to the new policy.

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- *Preparation for FSMP implementation*, preferably to begin by mid-1995.

- *Awareness campaigns*, including mass communication to increase awareness of the new policy and of the FSMP among all forestry officials and the general public.

- *Securing financing* for the implementation of the FSMP programmes.

- Integration of the FSMP in the National Development Plans.

- EIAs of the implementation programmes and projects.

The following is an outline of how the Plan should unfold in the short, medium, and long terms:

Short-term strategies (within five years)

- Approval of laws, and drafting and approval of rules, to give effect to the new policy.
- Harmonization of all policies that relate to forestry.
- Reviewing and revising the administrative rules and regulations of the FD and other forestry-related agencies.

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- The establishment of a Permanent Forest Estate. Macro-level forest zoning, planning the protected area system and defining its boundaries.
- Preparing strategies and projects for developing partnerships in forestry development, and conducting pilot schemes to develop partnership in forest-resource management.
- Resolution of urgent conservation and development issues.
- Strengthening institutions that are involved in FSMP implementation.
- Strengthening sectoral planning capacity.
- Securing financing for FSMP programmes.
- EIAs of the implementation programmes and projects.

Medium-term strategies (five to fifteen years from now)

- Expanding the pilot management schemes to cover the whole country.
- Reviewing and updating the FSMP to keep up with changes in the other national development plans.

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- Continuing institutional strengthening.
- Continuing institutional support of all sub-sectors.
- EIAs of the implementation programmes and projects.

Long-term strategies (fifteen years from now, and onwards)

- Monitoring that all forestry partnerships are being harmoniously and sustainably developed and that the national development goals are being attained.

Financing of the FSMP

The FSMP comprises thirteen programmes which aim at implementing the National Forestry Policy. These programmes identify the actions and resources that are needed to achieve the stated policy goals. They are not only investment programmes; they also identify all the other resources that are needed for implementation. The inputs needed for resource management and utilization will come mainly from the development partners (rural people, industries, etc.) who provide labour for production, gathering, and processing.

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The development partners already provide about four fifths of the inputs in the forestry sector, mainly as labour in the home garden sub-sector and in bio-mass collection for energy needs. Investments in forest plantation development will come increasingly from private sources. Manufacture of industrial forest products and processing of NWFPs will be done mainly by the national private sector, including rural entrepreneurs, cooperatives, and industries. All institutional programmes supporting the implementation of the core programmes, and most conservation activities will be financed from public funds and external sources.

The impacts of the FSMP

As the FSMP is a development plan, its impacts are intended to be positive. One of the main development objectives of the FSMP is to contribute to environmental conservation, especially with regard to biodiversity and soil and water resources. Another central objective is to increase the supply of bio-energy, wood and non-wood forest products from *sustainable* sources. The benefits of forestry development will be distributed more evenly because so many different stakeholders will be involved in managing forests for their own benefit.

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All the measures that result in increased wood supply from sustainable sources will also reduce the pressure on the natural forests. However, the *Forest plantations* programme may also have some unintended negative impacts. Ways of avoiding the adverse impacts of forest plantations are discussed at length in the FSMP. The question of whether exotic species are damaging to the environment is complex and the answers often apply only to particular species and sites. As a general principle, the FSMP is opposed to converting natural forests into plantations and to the planting of pine monocultures for watershed protection. The emphasis is on the better and more intensive management of the existing plantations. The environmental impacts of the forest industry are related mainly to sawmill waste, leakage of treatment materials, effluents from the pulp mill, and noise pollution. Guidelines have been set out for mitigating the adverse environmental impacts of the sawmilling and other wood products industries.

The FSMP gives advice how on EIA procedures should be used in FSMP implementation.